3.1 Revenue, Profits, and Price

Video: Revenue, Profits, and Price (Crash Course Economics)

Two Types of Profit

A lawyer quits to open a pizza parlor. He earns $50,000 in revenue and pays $20,000 in costs, so an accountant says his profit is $30,000.

An economist also counts the _____: the $100,000 he gave up by not working as a lawyer. Counting that, he is actually losing $70,000.

Type of Profit	What It Subtracts from Revenue
	Only _____ (out-of-pocket costs)
	Explicit costs and _____ (opportunity costs)

Profit in Competitive Markets

If a business earns a lot of extra profit, _____ jump into the market. Competition lowers the price and reduces sales until the extra profit disappears.

Zero economic profit is called _____. It is the minimum a company needs to stay in business.

This happens in very competitive markets with low _____. If it is hard for others to enter, a business can earn economic profit.

Costs of Production

Type of Cost	Meaning	Pizza Example
	Change with the amount produced	Ingredients like wheat and cheese, and wages
	Do not change when more is produced	An oven or rent

_____ is the cost per unit: total cost divided by the number of units of output.

Producing more spreads fixed costs over many units, so average cost falls. Car manufacturers make hundreds of cars per day for this reason. This is called _____.

The Profit Maximizing Rule

The goal of a business is not the lowest average cost. The goal is to make the right number of units that _____.

Keep producing as long as the _____ (the additional revenue from selling another unit) is greater than or equal to the _____ (the additional cost of producing another unit). In short: produce where MR equals MC.

Diminishing Marginal Returns

When a pizza shop hires a second worker, the workers can _____, which lowers the marginal cost of each pizza.

The _____: as you add variable resources (workers) to fixed resources (ovens), the additional output from each new worker will eventually decrease. There are too many cooks in the kitchen.

This law also applies to farmers adding fertilizer and to studying: each extra hour brings lower and lower returns.

Sunk Costs

A _____ is a cost that has already been paid and can't be recovered.

Example: a business spends $2 million developing a product no one wants. That money should be _____ when making future decisions. Focus on the benefits and costs in the future.

Think About It

Describe a decision you made (a job, a sport, a class) that had an implicit cost, or a sunk cost you had to let go of. What did you give up? _____